(b) It is the more exhaustive concept of national income than the GDP as it indicates about the *'quantitative'* as well as the *'qualitative'* aspect of the economy, i.e., the *'internal'* as well as the *'external'* strength of the economy.

(c) It enables us to learn several facts about the production behaviour and pattern of an economy, such as, how much the outside world is dependent on its product and how much it depends on the world for the same (numerically shown by the size and net flow of its 'trade balance'); what is the standard of its human resource in international parlance (shown by the size and the net flow of its 'private remittances'); what position it holds regarding financial support from and to the world economies (shown by the net flow of 'interests' on external lending/borrowing).

NNP

Net National Product (NNP) of an economy is the GNP after deducting the loss due to 'depreciation'. The formula to derive it may be written like:

NNP = GNP – Depreciation

or,

NNP = GDP + Income from Abroad – Depreciation.

The **different uses** of the concept NNP are as given below:

(a) This is the **'National Income' (NI)** of an economy. Though, the GDP, NDP and GNP, all are 'national income' they are not written with capitalised 'N' and 'I'.

(b) This is the *purest form* of the income of a nation.

(c) When we divide NNP by the total population of nation we get the ***'per capita income'*** (PCI) of that nation i.e. 'income per head per year'. A very basic point should be noted here that this is the point where the rates of dipreciation followed by the different nations make a difference. Higher the rates of depreciation lower the PCI of the nation (whatever be the reason for it- logical or artificial as in the case of depreciation being used as a tool of policy-making)! Though, economies are free to fix any rate of depreciation for the different assets the rates fixed by them make difference when the NI